Cine-UK Limited

Annual report and financial statements

Registered number 03005901

For the year ended 31 December 2025

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Company Information

DIRECTORS	J Horton R Bell
COMPANY SECRETARY	J Henrich
REGISTERED NUMBER	03005901
REGISTERED OFFICE	8th Floor Vantage London Great West Road Brentford TW8 9AG
INDEPENDENT AUDITORS	S&W Partners Audit Limited 45 Gresham Street London EC2V 7BG

Strategic report for the year ended 31 December 2025

The Directors present their Strategic Report on Cine-UK Limited (the "Company") for the year ended 31 December 2025. The date to which the Company has prepared comparative figures is 31 December 2024.

Principal activities

The Company, together with Cineworld Cinemas Limited and certain Jersey-registered subsidiaries, operates cinemas under the Cineworld brand. As a wholly owned subsidiary of Cineworld Parent Limited and along with fellow subsidiaries, constitutes the Cineworld Group (the "Group") as at the balance sheet date. The Group is ultimately controlled by the Board of Directors of Cineworld Parent Limited (the "Group Board").

Cineworld continues to be one of the UK's leading cinema chains by admissions and box office revenues. Cineworld cinemas are modern, well-designed multiplexes with high quality technology, stadium seating, and online ticketing services. The sites are mostly in leisure and retail parks. Cineworld offers the "Unlimited" subscription card which allows unlimited viewings per month. Refurbishment of older sites, investment in new technologies and diversification of retail offerings are a key focus for the Cineworld brand. Cineworld is the only exhibitor in the UK to offer the 4DX experience, which includes motion seats and environmental effects.

The principal revenue stream for the Company is box office revenue. Box office revenue is a function of the number of admissions and the ticket price per admission, less VAT. In addition, the Company operates membership schemes which provide customers with access to screening in exchange for subscriptions fees, and this revenue is also reported as part of box office. Admissions (one of the Group's key performance indicators), depend on the number, timing and popularity of the films we are able to show in our cinemas. Admissions are also a key driver for the two other main revenues for the Company; retail revenue, the sale of food and drink for consumption within our cinemas; and screen advertising income, from advertisements shown on our screens prior to feature presentations.

Other income comprises all income other than box office and retail, predominantly revenue from advertisements shown on screen prior to film screenings and revenue from booking fees associated with the purchase of tickets online.

Financial Performance and position

Revenue for the year was £185.3m (2024: £194.9m), representing a decrease compared with the prior year. The reduction was primarily driven by lower admissions, which adversely impacted box office revenue. This was partially offset by an increase in average ticket price, reflecting the change in the cinema portfolio following site closures undertaken as part of the restructuring process in 2024. The box office revenue was additionally influenced by the film release schedule. In particular, the timing and composition of the film slate, including releases such as Wicked and Avatar towards the end of the financial year ended 31 December 2025. Retail income decreased compared with the prior year, primarily due to a higher proportion of discounted products. Advertising and other income increased compared with 2024.

For the year ended 31 December 2025, the Company reported an operating profit of £20.9 million (2024: £36.6 million) and a profit before taxation of £5.1 million (2024: £9.5 million). Profit after tax was impacted by a decrease in the deferred tax asset as a result of forecast future taxable profits. The prior year operating result included a significant benefit arising from the Restructuring Plan implemented in 2024, including a lease modification gain of £42.7 million. Accordingly, the reduction in operating profit in 2025 principally reflects the absence of this significant non-recurring gain in the current year. Excluding this item, the Company's underlying operating performance improved significantly reflecting the benefits of the 2024 restructuring, a reduced cost base and continued recovery and strengthening of the film release slate following the Covid-19 pandemic.

During 2025, as part of the Group's legal entity restructuring and simplification process, an amount of £25.2 million owed by the Company to Group undertakings was waived. As the waiver represented a transaction with the shareholder in its capacity as owner, the amount was recognised directly in equity within the capital contribution reserve and therefore had no impact on the Company's profit for the year.
As at 31 December 2025 net assets were £23.9m (2024: £8.1m).

Strategic Report for year ended 31 December 2025 *(continued)*

Business review

During 2025, the Group continued to benefit from the Restructuring Plans ("RPs"), which became effective on 1 October 2024. The RPs were designed to improve the sustainability and financial stability of the Group, primarily through the restructuring of the UK lease portfolio and associated cost savings. The anticipated savings were realised during 2025 and, together with improved trading performance, contributed to an improvement in the Group's financial performance.

The Group also continued to invest in its cinema estate and customer proposition during the year, supporting the longer-term performance of the business.

During 2025, the Group undertook a review of its corporate structure with the objective of simplifying and streamlining the legal entity structure and reducing the associated administrative burden. As part of this exercise, a number of entities which were no longer required were struck off. These changes had no material impact on the Group's underlying operations or financial performance.

As an operating business, the Company's performance and financial position are primarily driven by the trading performance of its cinema estate. During the year, trading benefited from a continued recovery of the film slate post Covid-19 pandemic and continued consumer demand for out-of-home entertainment experiences, supporting admissions and spend per customer. The business maintained its market position through a combination of premium cinema offerings, targeted marketing initiatives and operational improvements across the estate.

Whilst admission levels across the sector were affected by content availability, the uneven timing of major film releases, competition for consumer leisure expenditure and changing entertainment consumption habits, the Company continued to strengthen its underlying operating performance through its strategic initiatives and strong market positioning.

In addition, the benefits arising from the Restructuring Plans, including the exit from loss-making sites and the renegotiation of lease terms, contributed to a more sustainable cost base and improved profitability. Together, these operational and restructuring initiatives have strengthened the Company's financial position and enhanced its ability to generate sustainable long-term returns, even in a recovering market.

Key Performance Indicators

The Directors of the Regal Entertainment Group manage the Group's operations based on two reporting segments: Domestic (US), and International (UK &I and other international operations). Included below are the KPIs for the Company regarding the year-on-year change in admission, average ticket price and concession spend per person.

	2025	2024
Change in admission	**(1,102,704)**	(534,911)
Change in average ticket price (£)	**0.20**	(0.31)
Change in average concession spend per person (£)	**(0.13)**	0.17

Admissions decreased by 1.1 million in 2025 (2024: decrease of 0.5 million). The reduction was primarily attributable to a number of site closures implemented as part of the Group's restructuring initiative. Average ticket price increased by £0.20 (2024: decrease of £0.31), reflecting pricing actions and changes in sales mix. Average concession spend per person decreased by £0.13 (2024: increase of £0.17), primarily reflecting increased promotional and discounting activity during the year.

Strategic Report for year ended 31 December 2025 *(continued)*

Principal Risks and Uncertainties

The directors of Cine-UK Limited confirm that we have carried out a robust assessment of the emerging and principal risks facing the Company, including those that would threaten its business model, future performance, solvency or liquidity.

The principal risks and uncertainties to the trading operations which could have a material impact on the Company's performance are:

1. Liquidity and financial risk	Lower trading performance or higher costs could place pressure on cash generation and available liquidity. The Company is also exposed to credit risk on balances with Regal Entertainment Group undertakings. This risk is mitigated by Liquidity management at the Regal Entertainment Group level through regular cash flow forecasting and sensitivity analysis. Intercompany balances and expected credit losses are reviewed at each reporting date.
2. Technology, cyber security and data	A significant systems failure, cyber-attack or data breach could disrupt operations and result in financial or reputational damage. This is mitigated through the Regal Entertainment Group maintaining information security controls, system backups, security monitoring, employee training and business continuity arrangements.
3. Availability and Performance of Film Content	Performance is dependent on the availability, timing and commercial success of films released for theatrical exhibition. Management mitigates this risk through monitoring the forward film slate, maintaining relationships with distributors and updating forecasts for changes in expected admissions and release schedules.
4. Cinema operations and cost management	Higher labour, energy, property and other operating costs, together with underperformance of individual cinemas, could adversely affect profitability and cash generation. In order to mitigate this risk, site performance and costs are monitored monthly, with actions taken to manage operating costs, staffing levels and capital expenditure.
5. Consumer demand and competition	Admissions and customer spend may be adversely affected by economic conditions, changing consumer preferences, other cinema operators, streaming services and alternative leisure activities. Management mitigates these risks through monitoring key trading KPIs monthly, reviewing customer trends and competitor activity and regularly reviewing pricing, promotions and the customer proposition.
6. Regulatory compliance and major incidents	A significant regulatory, health and safety or operational incident could result in business disruption, financial penalties or reputational damage. In order to mitigate this risk policies, procedures, training and monitoring are in place to support compliance, together with emergency response and business continuity arrangements.
7. People and key talent	Failure to attract and retain key management and appropriately skilled employees could impact operational and strategic delivery. Mitigation: Management regularly reviews organisational structure, succession planning, recruitment, remuneration and employee development.

Strategic Report for year ended 31 December 2025 *(Continued)*

Section 172(1) Statement

This statement describes how the members of the Directors fulfil their obligations under section 172 of the Companies Act 2006. In discharging their duty to act, in good faith, in a way that they consider would be most likely to promote the success of the Company for the benefit of its members as a whole in accordance with section 172(1) of the Companies Act 2006, the Directors have had regard to a number of different factors and stakeholder interests and in particular to the matters set out in section 172(1)(a – f) of the Companies Act 2006 as the following factors:

(a) the likely consequences of any decision in the long term;
(b) the interests of the company's employees;
(c) the need to foster the company's business relationships with suppliers, customers and others;
(d) the impact of the company's operations on the community and the environment;
(e) the desirability of the company maintaining a reputation for high standards of business conduct; and
(f) the need to act fairly between members of the company.

As a wholly owned subsidiary, the Company's principal shareholder engagement is with its immediate shareholder, Cineworld Parent Limited (see note 23).

When making decisions, the Directors review the necessary financial and operational information at Board meetings, enabling them to comply with their duties under section 172(1) of the Companies Act 2006. Principal decisions taken by the Directors during the year related to financial and operational matters. In reaching these decisions, the Directors considered a range of relevant factors, including the likely long-term consequences of each decision, the promotion of the Company's success for the benefit of its members as a whole and the need to act fairly between members.

The Directors remain committed to applying these principles in its governance and decision-making processes and, where appropriate, delegates certain responsibilities to management within the wider Group, ensuring alignment with section 172 considerations. Further information on the Company's governance framework, stakeholder relationships, risk oversight and the application of the Wates Principles is included in the Corporate Governance Statement within the Directors' Report.

Employee Engagement Statement

Information on how the Directors have supported the Company's employees is included in the Directors' Report on page 8.

Customer Engagement Statement

The Directors recognise that customers are central to the Company's success and consider the impact of decisions on the overall cinema-going experience, including film content, customer service and cinema facilities. The Directors seek to maintain an attractive and competitive offering that supports admission and customer satisfaction.

The Directors continue to ensure that the Group's cinemas are accessible to all, offering accessible screenings, welcoming guide dogs, and providing free entry for carers accompanying customers with disabilities.

Communities Engagement Statement

The Directors consider the impact of the Company's operations on local communities, including employment, accessibility and environmental matters. The Directors seek to operate responsibly and contribute positively to the communities in which the Company operates.

Strategic Report for year ended 31 December 2025 *(Continued)*

Supplier and Stakeholder Engagement Statement
The Directors have considered all the Company's stakeholders and the long-term consequences of decisions taken. Information on stakeholder engagement can be found in the Directors' report on page 8.

Future developments
The Company benefited from cost savings arising from the renegotiation of a number of property leases, which are expected to deliver ongoing improvements to the cost base.
The Directors are also encouraged by the strength of the remaining 2026 film release slate, which includes a number of major studio releases and is expected to support improved admissions, revenue and trading performance. The Directors remain encouraged by the strength of the currently announced 2027 film release slate, which includes a number of significant franchise, family and event cinema releases from major studios. The breadth and quality of content scheduled throughout the year is expected to drive sustained consumer demand, supporting admissions and overall trading performance, subject to prevailing market conditions and the commercial success and timing of individual film releases.

Other than the above, the Directors do not expect any change in principal activities of the Company during the next financial year.

On behalf of the board

James Horton
James Horton (Sep 25, 2026 22:29:06 GMT+1)

J Horton
Director
25 September 2026

Directors' report for year ended 31 December 2025

The Directors present their Directors' report along with the audited financial statements together with the auditors' report for the year ended 31 December 2025.

Principal activities and future developments

The principal activity of the Company and an indication of likely future developments of the Company, and wider Group are outlined in the strategic report. Details of significant events since the balance sheet date are contained in note 24.

Payment of dividends

No dividends were approved or paid in the year or prior year.

Directors

The Directors of the Company who were in office during the year and up to the date of signing the financial statements were as follows:

S Jones (resigned on 17 September 2026)
J Horton (appointed on 10 October 2025)
R Kaufman (resigned on 10 April 2026)
R Bell (appointed on 17 September 2026)

Directors' and Officers' Insurance and Indemnity

The Company maintains insurance cover for all directors and officers of Group companies against liabilities which may be incurred by them while acting as directors and officers. As at the date of this report, indemnities are in force under which the Company has agreed to indemnify the directors as permitted by law and by the Articles against liabilities they may incur in the execution of their duties as directors of the Company. These indemnities are qualifying third party indemnities. These policies were in force during the financial year and up to the date of signing this report.

Political contributions

The Company made no political contributions and no charitable contributions in the year or the prior year.

Independent auditors

S&W Audit (a trading name of S&W Partners Audit Limited) continued as the Company's independent auditor for the financial year ended 31 December 2025. The auditor will be deemed to be reappointed in accordance with section 487 of the Companies Act 2006.

Going concern

The Directors have reviewed the Company's financial forecasts and projections. Based on this, along with the committed support of the parent company, the Directors are satisfied that the Company has adequate access to financial resources to continue in operational existence for the foreseeable future. For these reasons, the Directors continue to adopt the going concern basis in the preparation of these financial statements.
Details of the Directors' assessment of Going Concern are set out in note 3.

Events affecting the Company since the year end

Details of events affecting the company since the year-end are set out in the note 24.

Directors' report for year ended 31 December 2025 *(continued)*

Disabled employees
The Company continues to give full and fair consideration to applications for employment by the Company made by disabled persons and continues the employment of, and arranges appropriate training and other measures for employees of the Company who have become disabled persons during the period when they are employed by the Company.

Employee Engagement Statement
The Company is aware of its workforce engagement obligations, many of which are undertaken by the HR functions of the Group. The Directors have regard to such of these obligations as are relevant to their management of the business and operations of the Company in the context of the overall governance framework of the Cineworld Parent Limited.

Supplier and Stakeholder Engagement Statement
Engagement with stakeholders (including suppliers, customers and others) is often undertaken at operational level, and the Directors have regard to such obligations as are relevant to their management of the business and operations of the Company in the context of the overall governance framework of the Group. Having strong commercial relationships is key to operating our business successfully. With years of experience in the cinema industry, our teams have worked hard to develop strong working relationships with a range of film studios and distributors, retail partners, and property developers.

Corporate Governance Statement

Application of the Wates Corporate Governance Principles

In accordance with the Companies (Miscellaneous Reporting) Regulations 2018, the Company applies the Wates Corporate Governance Principles for Large Private Companies (the "Wates Principles"). The Directors consider the Wates Principles to be an appropriate framework for the Company's governance arrangements.

This statement explains how the Group Board applied each of the Wates Principles during the year ended 31 December 2025, with a focus on key decisions taken, outcomes achieved and how governance supported long-term sustainability. The statement forms part of the Directors' Report and was reviewed and approved by the Directors.

Principle One: Purpose and Leadership

The Group Board provides clear, entrepreneurial and responsible leadership to promote the long-term success of the Company and the Group. The Group's purpose is to share joy through extraordinary experiences, delivered through high-quality cinema environments, premium formats and strong customer service.

The Group Board recognises that delivery of this purpose depends on aligning strategy, culture and decision-making. The Group's strategic imperatives are summarised as SHOW:

- Superior Entertainment Experience
- Highest Returns
- Optimised Portfolio
- Winning Team & Culture

These imperatives provide a consistent framework through which the Group Board assesses strategic priorities, investment decisions and operational performance.

Directors' report for year ended 31 December 2025 *(continued)*

During 2025, the Group Board actively applied the Group's purpose, values, and strategic imperatives within the context of a challenging operating environment. The RP was a significant event during the 2024 financial year and continued to have a lasting impact throughout 2025, requiring the Group Board to balance short-term financial resilience with the long-term sustainability of the cinema estate.

In applying the SHOW strategic imperatives, the Group Board:

- approved the exit of certain underperforming locations, consistent with an Optimised Portfolio and focus on long-term value;
- refocused capital allocation towards sites and premium formats, supporting a Superior Entertainment Experience and Highest Returns;
- prioritised refurbishment and investment selectively, reflecting affordability while maintaining differentiated, high-quality cinema offerings; and
- set a renewed strategic direction post-RP, focused on liquidity discipline, operational efficiency and long-term cash generation and resilience.

Throughout the year, the Group Board sought to maintain a culture aligned with the Group's purpose and strategic imperatives, emphasising accountability, customer focus and responsible leadership, while supporting a Winning Team & Culture during a period of organisational change. As the Group executes its strategy following the RP, the Group Board continues to strengthen governance oversight and engagement with employees, lenders and other stakeholders.

Principle Two: Board Composition

The Company is ultimately controlled by the Board of Directors of Group Board, during the twelve months ended 31 December 2025. The UK-based statutory directors discharge their responsibilities in parallel with, and in support of the Group Board, ensuring that all duties as directors of the Company are fulfilled in alignment with the Groups governance framework.

The Group Board and Executive Management Team (which includes the Group CEO, CFO and others) are collectively responsible for setting long-term objectives, approving strategy and overseeing performance. During 2025, the Group Board considered that its composition provided an appropriate balance of skills, experience and knowledge of the markets, regulatory environment and risks relevant to the Group's operations, particularly in navigating restructuring and liquidity challenges.

The Group Board meets regularly during the year for scheduled meetings and also holds a strategy session, with additional ad hoc meetings convened as required. Meetings follow a formal agenda and are supported by detailed financial and operational reporting, enabling effective debate and constructive challenge.

Succession planning and Group Board composition are overseen by the Nomination Committee, which monitors tenure and diversity considerations to ensure the Group Board remains effective over time. The Group Board is satisfied that its composition enabled effective oversight and decision-making throughout the year.

Principle Three: Director Responsibilities

The roles of the Chair and the Chief Executive Officer are clearly defined and documented, ensuring an appropriate balance between leadership and executive management.

The Group Board operates under a formal schedule of matters reserved, including approval of strategy, budgets, major investments, acquisitions, capital expenditure, senior appointments and remuneration policies.

Directors' report for year ended 31 December 2025 *(continued)*

This ensured that key strategic and financial decisions during 2025, were subject to appropriate Board scrutiny.

Decision-making during the year was supported by:

- regular Group Board meetings and additional ad hoc meetings;
- detailed financial and operational reporting from the Executive Management Team; and
- active challenge from Non-Executive Directors, including meetings held without Executive Directors present.

Day-to-day management is delegated to the Chief Executive Officer and Executive Management Team, who are accountable to the Group Board for operational and financial performance. UK management is responsible for executing strategy and managing operations within the authority levels and policies approved by the Group Board. The Group Board maintains oversight through regular engagement and reporting, while preserving clear accountability for execution.

The Group Board is supported in discharging its legal and ethical responsibilities by the General Counsel and Company Secretary, who advises on corporate governance matters and ensures Group Board procedures are followed. Governance-related policies, including whistleblowing, anti-fraud and bribery, and health and safety, are in place and regularly reviewed. Whistleblowing matters are routinely reviewed by the Group Board.

Diversity considerations form part of the Group Board's approach to composition and succession planning. While appointments are made on merit, the Group Board supports diversity of skills, experience and background and management's broader efforts to promote diversity and inclusion across the organisation. See page 8 for Directors' appointments and resignations.

Principle Four: Opportunity and Risk

The Group Board has overall responsibility for the Group's risk management and internal control framework and is supported by the Audit Committee and Executive Management Team.

During 2025, the Group Board focused on principal risks including liquidity management, admission volatility, cost pressures and portfolio performance. These risks were assessed through the Group's Risk Management Framework and documented within the Principal Risk Register.

Key mitigating actions overseen by the Group Board included liquidity forecasting, cost control, portfolio optimisation and continued oversight of internal controls and assurance activities. The Group Board also considered opportunities alongside risk, including repositioning the estate, targeted investment in premium formats and strengthening long-term cash generation.

Principle Five: Remuneration

The Group's remuneration practices are designed to support strategy, promote long-term sustainable success and align executive incentives with shareholder interests.

During 2025, remuneration matters were overseen by the Compensation Committee, comprising four non-executive directors. The Committee remained in place throughout the year and was responsible for executive remuneration policy, incentive arrangements and oversight of equity-based compensation plans.
Remuneration outcomes reflected the financial position of the Group, leadership through restructuring and delivery of strategic priorities aligned to the SHOW imperatives, including financial resilience, operational performance and cultural leadership. The Group Board also had regard to broader workforce considerations, including fair pay practices, diversity and inclusion, supported by established policies.

Directors' report for year ended 31 December 2025 *(continued)*

Principle Six: Stakeholder Relationships and Engagement

The Group Board recognises the importance of effective engagement with key stakeholders, including shareholders, lenders, employees, customers, suppliers and the communities in which the Group operates.

During 2025, engagement included regular communication with shareholders and lenders, updates to employees during organisational change and continued focus on customer experience and service quality. Stakeholder considerations informed decisions relating to restructuring, portfolio changes and future strategic direction.

In fulfilling its duties under section 172 of the Companies Act 2006, the Board considered the impact of its decisions on stakeholders throughout the year, with the objective of supporting the Company's long-term success. This Corporate Governance Statement forms part of the Directors' Report and was approved by the Directors.

Environmental matters and greenhouse gas emissions
Pursuant to Companies Act 2006 (Strategic Report and Directors' Report) Regulations 2013 and the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 (the latter commonly referred to as Streamlined Energy and Carbon Reporting or "SECR") the Company is required to make specific disclosures around carbon emissions.

Streamlined energy and carbon report
The Company is exposed to climate-related physical and transition risks, which are assessed over the short to medium term and reviewed annually as part of the risk management process.
The Company engaged with a third-party energy specialist to manage the compliance process across the Group under the Streamlined Energy and Carbon Reporting (SECR) framework.

As a first step towards managing and reducing Green House Gas (GHG) emissions, the Company needs to understand which business activities generate GHG emissions and the magnitude of the generated emissions. The below table illustrates a quantitative assessment of the GHG emissions for the Company over the 12-month period ending 31 December 2025, in tonnes CO^2 emissions (tCO2e) and kilowatts per hour (kWh).

Emissions Source	2025 (kWh)	2024 (kWh)	2025 (tCO^2e)	2024 (tCO^2e)	Share (%)	Annual Change (%)
Purchased Electricity	41,091,929	42,343,334	7,273	9,542	76%	(24%)
Natural Gas	11,483,018	11,423,074	2,101	2,089	22%	<1%
Transport	661,783	421,774	144	102	2%	41%
Total Emissions	**53,236,730**	**54,188,182**	**9,518**	**11,733**		

The intensity ratio (presented as tCO^2e/£m revenue) for the year is 51.36 (2024: 60.48).

Directors' report for year ended 31 December 2025 *(continued)*

The below table presents GHG emissions by scope. Scope 1 emissions include emissions associated with natural gas consumption and operation of company cars. Scope 2 include emissions that are associated with off-site electricity generation. Scope 3 emissions include those associated with losses from electricity distribution and transmission and business travel in private cars.

Emissions Source	2025	2024	Share (%)	Annual Change (%)
Scope 1 (tCO^2e)	2,214	2,180	23%	2%
Scope 2 (tCO^2e)	7,285	9,542	77%	(24%)
Scope 3 (tCO^2e)	19	11	<1%	73%
Total Emissions (tCO^2e)	**9,518**	**11,733**		

Note: Refrigerant emissions have been excluded from both 2024 and 2025 totals due to unavailable 2025 data, to ensure consistent comparison.

Cineworld is committed to reducing the environmental impact of our operations. We are working closely with suppliers to minimise the carbon and energy output of our showings, as well as reducing our food miles. We continue to expand our recycling both front and back of house. Further initiative roll outs to reduce our carbon emissions and greenhouse gasses are planned in 2026.

Disclosure of information to auditors
The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditors are unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditors are aware of that information.

On behalf of the board

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James Horton
James Horton (Sep 25, 2026 22:29:06 GMT+1)

J Horton
Director
25 September 2026

Statement of directors' responsibilities
in respect of the financial statements

The directors are responsible for preparing the Annual Report and the financial statements in accordance with applicable law and regulation.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have prepared the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 101 "Reduced Disclosure Framework", and applicable law).

Under company law, directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing the financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 101 have been followed, subject to any material departures disclosed and explained in the financial statements;
- make judgements and accounting estimates that are reasonable and prudent; and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors are also responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006.

The directors are responsible for the maintenance and integrity of the company's website. Legislation in the United Kingdom governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

S&W

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CINE-UK LIMITED

Opinion

We have audited the financial statements of Cine-UK Limited (the 'company') for the year ended 31 December 2025 which comprise the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and the notes to the financial statements, including material accounting policy information. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 101 "Reduced Disclosure Framework" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2025 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard as applied to other entities of public interest, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate. Our evaluation of the directors' assessment of the entity's ability to continue to adopt the going concern basis of accounting included:

- We evaluated management's assessment of going concern and examined the statements which were contained within, including reference to a letter of support from the ultimate parent undertaking Cineworld Parent Limited;
- We evaluated the appropriateness and calculations included within management's cash flow forecast which covered the assessment period and checked the accuracy and key assumptions within the forecast. We tested the inputs and assumptions to supporting evidence and stress tested management's sensitivity analysis;
- We obtained an understanding of the financing arrangements of Cineworld Parent Limited ('the Group') and discussed the Group's liquidity forecasts with US-based Group management and the group treasury function. We assessed the resilience of the Group's financial plan under a range of trading scenarios, including the resulting liquidity implications for the Company;

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CINE-UK LIMITED (CONTINUED)

Conclusions relating to going concern (continued)

- We reviewed management's sensitivity analysis and challenged the reasonableness and likelihood of the identified scenarios occurring, together with their potential impact on the availability of funds;
- We performed a review of trading in the post balance sheet period to determine the accuracy of the forecast against actual results; and
- We obtained the signed letter of support from Cineworld Parent Limited and confirmed the content of the letter was consistent with other evidence obtained.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon. Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CINE-UK LIMITED (CONTINUED)

Matters on which we are required to report by exception(continued)
We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors
As explained more fully in the directors' responsibilities statement set out on page 14, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements
Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below:

We obtained a general understanding of the company's legal and regulatory framework through enquiry of management concerning their understanding of relevant laws and regulations, the entity's policies and procedures regarding compliance, and how they identify, evaluate and account for litigation claims. We also drew on our existing understanding of the company's industry and regulation.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CINE-UK LIMITED (CONTINUED)

Auditor's responsibilities for the audit of the financial statements (continued)

In the context of the audit, we considered those laws and regulations which determine the form and content of the financial statements, which are central to the company's ability to conduct its business, and/or where there is a risk that failure to comply could result in material penalties. We identified the following laws and regulations as being of significance in the context of the company:
The Companies Act 2006, FRS 101, UK tax legislation, employment tax and Health and Safety in respect of the preparation and presentation of the financial statements.

The senior statutory auditor led a discussion with senior members of the engagement team regarding the susceptibility of the entity's financial statements to material misstatement, including how fraud might occur. The areas identified in this discussion were:

- The risk of material misstatement due to fraud in revenue recognition, through manipulation and inappropriate journal entries affecting more manual revenue streams;
- Manipulation of manual journal entries and financial statements for fraudulent purposes; and
- The impairment of property, plant and equipment and right of use assets.

These areas were communicated to the other members of the engagement team not present at the discussion. The procedures we carried out to gain evidence in the above areas included:

- We performed procedures to test the design and implementation of related controls and carried out a combination of data analytics and substantive procedures over revenue;
- We evaluated the risk of management override of controls and noted the principal risk was related to inappropriate journal entries to manipulate results. We performed testing to profile journals based on risk and selected a sample of entries to verify their appropriateness; and
- We evaluated management's impairment assessment by challenging the key assumptions used in determining the recoverable amounts, including forecast cash flows and discount rates. We assessed the reasonableness of these assumptions by considering historical performance, available supporting evidence and external market data, and reviewed sensitivity analyses to evaluate the impact of reasonably possible changes in key assumptions on the impairment conclusion.

We were satisfied that the engagement team had sufficient and appropriate competence and capability to identify or recognise irregularities.

A further description of our responsibilities is available on the Financial Reporting Council's website at: www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CINE-UK LIMITED (CONTINUED)

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Gary Tamkin

Gary Tamkin
Senior Statutory Auditor, for and on behalf of
S&W Audit
Statutory Auditor
Chartered Accountants

45 Gresham Street
London
EC2V 7BG

25 September 2026

Statement of Comprehensive Income
for the year ended 31 December 2025

	Note	Year Ended 31 December 2025	Year Ended 31 December 2024
		£000	£000
Revenue	4	**185,334**	194,882
Cost of sales		**(136,083)**	(142,707)
Gross profit		**49,251**	52,175
Administrative expenses	5	**(42,487)**	(5,496)
Expected credit loss credit / (charge)	5	**14,904**	(3,590)
Net impairment of right-of-use assets	5	**(132)**	(2,849)
Net impairment of property, plant and equipment	5	**(678)**	(3,594)
Operating profit		**20,858**	36,646
Finance income	9	**4,191**	5,712
Finance costs	9	**(19,928)**	(32,858)
Net finance costs		**(15,737)**	(27,146)
Profit before taxation	5	**5,121**	9,500
Tax on profit	10	**(14,527)**	(3,785)
Profit for the financial year		**(9,406)**	5,715
Total comprehensive income for the year		**(9,406)**	5,715

All results are derived from continuing operations.
Notes from pages 23 to 50 form part of these financial statements.

Balance Sheet
at 31 December 2025

	Note	31 December 2025 £000	31 December 2024 £000
Fixed assets			
Property, plant and equipment	11	**81,925**	90,643
Right-of-use assets	18	**68,250**	46,518
Investments	12	**69,288**	-
		219,463	137,161
Deferred tax asset	15	**8,405**	22,932
		8,405	22,932
Current assets			
Inventories	13	**2,479**	2,606
Trade and other receivables	14	**786,915**	621,369
Cash and cash equivalents		**699**	1,573
		790,093	625,548
Current liabilities			
Creditors: amounts falling due within one year	16	**(781,119)**	(579,700)
Lease liabilities	18	**(5,573)**	(10,209)
Net current assets		**3,401**	35,639
Non-current liabilities			
Lease liabilities	18	**(207,415)**	(187,162)
Provision	17	**-**	(475)
		(207,415)	(187,637)
Net assets		**23,854**	8,095
Capital and reserves			
Called up share capital	19	**7,900**	7,900
Share premium account		**30,217**	30,217
Capital contribution reserve	20	**173,716**	148,551
Accumulated losses		**(187,979)**	(178,573)
Total shareholders' surplus		**23,854**	8,095

Notes from pages 23 to 50 form part of these financial statements.

The financial statements on pages 20 to 50 were approved by the board of Directors on 25 September 2026 and were signed on its behalf by:

James Horton
James Horton (Sep 25, 2026 22:29:06 GMT+1)

J Horton
Director

Registered number: 03005901

Statement of Changes in Equity
for the year ended 31 December 2025

	Ordinary shares	Share premium	Capital contribution reserve	Accumulated losses	Total equity
	£000	£000	£000	£000	£000
Balance at 1 January 2024	7,900	30,217	119,471	(184,288)	(26,700)
Income for the financial year	-	-	-	5,715	5,715
Total comprehensive income for the year	-	-	-	5,715	5,715
Waiver on Intercompany Payable	-	-	29,080	-	29,080
Balance at 31 December 2024	**7,900**	**30,217**	**148,551**	**(178,573)**	**8,095**
Income for the financial year	-	-	-	(9,406)	(9,406)
Total comprehensive Income for the year	-	-	-	**(9,406)**	**(9,406)**
Waiver of Intercompany Payable	-	-	25,165	-	25,165
Balance at 31 December 2025	**7,900**	**30,217**	**173,716**	**(187,979)**	**23,854**

Notes from pages 23 to 50 form part of these financial statements.

Notes to the financial statements

1. General information

Cine-UK Limited is a private limited company limited by shares incorporated and domiciled in the United Kingdom under the Companies Act 2006 and is registered in England. The Companies registered address is 8th Floor Vantage London, Great West Road, Brentford, United Kingdom, TW8 9AG.

The nature of the Company's operations and its principal activities are set out in the strategic report on pages 3 to 7. These financial statements are presented in pounds sterling which is the currency of the primary economic environment in which the Company operates.

These financial statements are separate financial statements and have been prepared in accordance with the Companies Act 2006. The Company's immediate parent is Cineworld Holdings Limited and its ultimate parent Cineworld Parent Limited. It is included in the consolidated financial statements of Cineworld Parent Limited, which are publicly available and can be obtained from Companies House.

2. Adoption of new and revised standards

New and amended IFRS Accounting Standards that are effective for the current year

In the current year, the Company has applied the amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability, which are mandatorily effective for accounting periods beginning on or after 1 January 2025. The adoption of these amendments has not had a material impact on the disclosures or on the amounts reported in these financial statements.

Notes to the financial statements *(continued)*

3. Accounting Policies

Basis of accounting

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

The Company meets the definition of a qualifying entity under FRS 100 'Application of Financial Reporting Requirements' issued by the FRC. Accordingly, these financial statements were prepared in accordance with Financial Reporting Standard 101 'Reduced Disclosure Framework'.

As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard relating to:

- the requirements of paragraph 38 of IAS 1 Presentation of Financial Statements to present comparative information in respect of paragraph 79(a)(iv) of IAS 1 and paragraph 73(e) of IAS 16 Property, Plant and Equipment;
- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91 to 99 of IFRS 13 Fair Value Measurement;
- the requirements of paragraphs 10(d), 10(f), 16, 38A–38D, 40A–40D, 111 and 134–136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors;
- the requirements of paragraphs 17 and 18A of IAS 24 Related Party Disclosures; and
- the requirements of IAS 24 to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member.

The financial statements have been prepared on the historical cost basis. Historical cost is generally based on the fair value of the consideration given in exchange for the goods and services.

Notes to the financial statements *(continued)*

3. Accounting Policies *(continued)*

Going concern

The Directors have prepared the financial statements on a going concern basis. In making this assessment, the Directors have considered the Company's ability to continue in operation and meet its liabilities as they fall due for a period of at least twelve months from the date of approval of these financial statements.

The Company is a subsidiary of, and is controlled by, Cineworld Parent Limited. The Company's activities are funded principally through cash generated from its cinema operations and, where required, through funding and liquidity support available within the wider Group.

As part of their going concern assessment, the Directors reviewed the Company's Board-approved forecasts, cash flow and liquidity projections, together with the financial position and available liquidity of the wider Group. The forecasts reflect management's expectations regarding the film release slate, admissions, box office performance, average ticket price and concession spend, as well as the expected cost base of the retained cinema estate. They also incorporate the continuing benefits of the lease restructuring undertaken in 2024.

The Directors considered the sensitivity of the forecasts to reasonably possible downside scenarios, including lower admissions and weaker box office performance than forecast. Under these scenarios, management has identified mitigating actions which could be implemented if required, including reducing discretionary expenditure, controlling labour and other operating costs, and deferring or reducing non-committed capital expenditure.

The Directors have also considered the Group's financing arrangements and available liquidity throughout the assessment period. Based on the Group's forecasts and liquidity projections, the Directors expect the wider Group to have sufficient financial capacity to support the Company where required.

In addition, the Directors have received written confirmation from Cineworld Parent Limited of its intention to provide the Company with financial and other support as necessary to enable the Company to meet its obligations as they fall due. Cineworld Parent Limited has also confirmed that it will not seek repayment of amounts advanced to the Company by Cineworld Parent Limited and/or other members of its group unless adequate financing has been secured by the Company. This support is available for a period of at least twelve months from the date of approval of these financial statements.

Having considered the Company's forecast trading performance and cash generation, the downside sensitivities, the mitigating actions available to management, the Group's financing arrangements and available liquidity, and the financial support from Cineworld Parent Limited, the Directors consider it appropriate to prepare the financial statements on a going concern on the basis that the Company will have adequate resources to continue in operational existence and meet its liabilities as they fall due for at least twelve months from the date of approval of these financial statements.

Notes to the financial statements *(continued)*

3. Accounting Policies *(continued)*

Material accounting policies
The following accounting policies have been applied consistently in all the years presented in dealing with items which are considered material in relation to the Company's financial statements.

Foreign currency
Transactions in foreign currencies are translated at the exchange rates ruling at the dates of the transactions. Monetary assets and liabilities denominated in foreign currencies are retranslated at the closing rate at the reporting date, with exchange differences recognised in profit or loss.

Tangible Fixed Assets
Tangible fixed assets are stated at deemed cost, less accumulated depreciation and accumulated impairment losses.

Depreciation is provided by the Company to write off the cost less the estimated residual value of tangible fixed assets using the straight-line method over the estimated useful lives of the assets, as follows:

Land and buildings	30 years or life of lease if shorter
Plant and machinery	3 to 10 years
Fixtures and fittings	4 to 10 years

The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis.

Assets acquired for use in cinemas are depreciated from the date the cinema opens. Cinema properties in the course of construction are separately identified as a component of tangible assets and are not depreciated until the asset is ready for use.

A tangible fixed asset is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or scrappage of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss.

Impairment of tangible assets

The carrying amounts of the Company's assets are reviewed at each Balance Sheet date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or its cash-generating-unit ('CGU') exceeds its recoverable amount. Impairment losses are recognised in the statement of comprehensive income.

Impairment losses recognised in respect of CGUs are allocated to reduce the carrying amount of tangible fixed assets on a pro-rata basis. A CGU is the smallest identifiable group of assets that generates cash inflows that are largely independent of the cash inflows from other assets or groups of assets.

Impairment tests in respect of property, plant and equipment and right-of-use assets are based on cash flows for individual sites. Where individual sites' cash inflows are determined not to operate independently from one another, mainly due to strategic or managerial decisions being made across more than one site, they may be combined into a single CGU.

The Company evaluates its investments for financial impairment where events or circumstances indicate that the carrying amount of such assets may not be fully recoverable. When such evaluations indicate that the carrying value of an asset exceeds its recoverable value, an impairment value is recorded.

Notes to the financial statements *(continued)*

3. Accounting policies (continued)

Calculation of recoverable amount
The recoverable amount is the greater of the asset's fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For an asset that does not generate largely independent cash inflows, the recoverable amount is determined for the CGU to which the asset belongs.

Reversals of impairment
An impairment loss is reversed when there is an indication that the impairment loss may no longer exist as a result of a change in the estimates used to determine the recoverable amount, including a change in fair value less costs to sell. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

Provisions
A provision is recognised in the Balance Sheet when the Company has a present legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

Taxation
Tax on the profit or loss for the year comprises current and deferred tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustments to tax payable in respect of previous years.

Deferred tax is provided on temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. The following temporary differences are not provided for: the initial recognition of goodwill; the initial recognition of assets and liabilities that affect neither accounting nor taxable profit other than in a business combination, and differences relating to investments in subsidiaries to the extent that they will probably not reverse in the foreseeable future. The amount of deferred tax provided is based on the expected manner of realisation or settlement of the carrying amount of assets and liabilities, using rates enacted or substantively enacted at the balance sheet date. A deferred tax asset is recognised only to the extent that it is probable that future taxable profits will be available which the asset can be utilised.

Inventories
Inventories are stated at the lower of cost and net realisable value. The cost of inventories is based on the average cost basis. Cost comprises expenditure incurred in acquiring the inventories and bringing them to their existing location and condition, and net realisable value is the estimated selling price in the ordinary course of business, less the estimated selling costs.

Cash and Cash Equivalents
Cash and cash equivalents comprise cash balances, call deposits and cash amounts in transit which are settled within 7 days from the date of the reporting period.

Investments

Investments in subsidiaries are accounted for at cost less, where appropriate, provisions for impairment.

Notes to the financial statements *(continued)*

3. Accounting policies *(continued)*

Leases
The Company's leases predominantly relate to property leases for each cinema site. Rental contracts are typically made for fixed periods of an average of 15 years but may have extension options. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions.

Each lease payment is allocated between the liability and finance cost. The finance cost is charged to the Income Statement over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Liabilities arising from leases are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- variable lease payments that are based on an index or a rate;
- the exercise price of a purchase option if the lessee is reasonably certain to exercise that option; and,
- payments of penalties for terminating the lease, if the lease term reflects the lessee exercising that option.

Variable lease payments not based on an index or rate, such as turnover rents, are accrued during the relevant turnover period.

The lease payments are discounted using the lessee's incremental borrowing rate being the rate that the lessee would have to pay to borrow the funds necessary to obtain an asset of similar value in a similar economic environment with similar terms and conditions.

To determine the incremental borrowing rate, the Company:

- uses a build-up approach that starts with a risk-free interest rate adjusted for credit risk for leases held by the Company, which does not have recent third party financing, and
- makes adjustments specific to the lease conditions.
- Right-of-use assets are measured at cost comprising the following:
- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received; and
- any initial direct costs.

Right-of-use assets are generally depreciated over the shorter of the asset's useful life and the lease term on a straight-line basis.

The Company is exposed to potential future increases in variable lease payments based on an index or rate, which are not included in the lease liability until they take effect. When adjustments to lease payments based on an index or rate take effect, the lease liability is reassessed and adjusted against the right-of-use asset.

Lease modifications
Where lease contracts are amended resulting in extensions to the minimum lease term or increases to the overall consideration under the lease, they are treated as modifications under IFRS 16. Lease modifications triggered through the RP process have also been evaluated on this basis.

Landlord contributions
Where the Company receives contributions and incentives from landlords at the start of the lease, these are recorded against the right-of-use asset.

Notes to the financial statements *(continued)*

3. Accounting Policies *(continued)*

Sub-leases
The Company applies IFRS 16 to all leases and to right of use assets in sub-leases. The Company classifies the sub-lease as a finance lease or an operating lease with reference to the right of use asset arising from the head lease.

The Company treats the right of use asset as the underlying asset in the sub-lease, not the item of property, plant and equipment that it leases from the head lessor.

For sub leases classified as operating leases, rental income will continue to be recognised in the Income Statement in the period to which it relates.

For sub leases classified as finance leases, the Company will recognise an asset classified as net investment in a sub-lease. The Company uses the discount rate it uses for the head lease, adjusted for any initial direct costs associated with the sub-lease to account for the sub-lease.

During the term of the sub-lease, the Company recognises both interest income on the sub-lease and interest expense on the head lease.

Extension and termination options
Extension and termination options are included in a number of property and equipment leases across the Company. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The majority of extension and termination options held are exercisable only by the Company and not by the respective lessor.

We have identified the inclusion of extensions and termination options within the lease term as a significant judgement. Refer to significant accounting estimates and uncertainties section of the accounting policies for further details.

Financial instruments
Financial assets and financial liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument and are initially measured at fair value. Subsequent to initial recognition, financial assets and financial liabilities are measured at amortised cost using the effective interest method, where applicable.

The Company's principal financial assets comprise amounts due from group undertakings and other receivables. The Company's principal financial liabilities comprise trade and other payables, amounts due to group undertakings and borrowings, where applicable.

The Company applies the expected credit loss model to amounts due from group undertakings and other receivables. Loss allowances are measured based on lifetime expected credit losses and are reviewed at each reporting date, taking into account the financial position of the counterparty and any forward-looking information available.

Amounts due from and to group undertakings are carried at amortised cost. Trade and other payables are measured at amortised cost and are recognised initially at the fair value of the consideration payable.

Financial assets are derecognised when the contractual rights to the cash flows from the asset expire or are transferred. Financial liabilities are derecognised when the Company's contractual obligations are discharged, cancelled or expire.

Notes to the financial statements *(continued)*

3. Accounting Policies *(continued)*

Financial assets and liabilities at amortised cost:
The Company's Financial assets comprise intercompany amounts receivables, and are included in current assets due to their short-term nature. Financial assets are initially recognised at the amount expected to be received, less, when material, a discount to reduce the financial assets to fair value. Subsequently, financial assets are measured at amortised cost using the effective interest method, less a loss allowance.

Financial liabilities at amortised cost include trade payables, bank indebtedness and long-term debt. Trade payables are initially recognised at the amount required to be paid, less, when material, a discount to reduce the payables to fair value. Subsequently, trade payables are measured at amortised cost using the effective interest method. Bank indebtedness and long term debt, are recognised initially at fair value, net of any transaction costs incurred and, subsequently, at amortised cost using the effective interest method.

Financial liabilities are classified as current liabilities if payment is due within 12 months. Otherwise, they are presented as noncurrent liabilities.

Impairment of financial assets
The Company measures expected credit losses using a lifetime expected loss allowance for all amounts receivable from group undertakings.

Loss allowances will be measured on either of the following bases:
i. 12-month expected credit losses ('ECLs') are the ECLs that result from possible default events within 12 months after the reporting date; and

ii. lifetime ECLs which are ECLs that result from all possible default events over the expected life of a financial instruments.

The expected loss rates are based on the historical payment profiles of sales during the financial year and the corresponding historical credit losses experienced within this period. The historical loss rates are adjusted to reflect current and forward looking information on macroeconomic factors affecting the ability of the customers to settle the receivables.

The Company has identified historical losses measured against receivables to be the most relevant factors, and accordingly adjusts the historical loss rates based on expected changes in these factors.

All amounts due from Group undertakings are repayable on demand and the nature of these receivables is considered within the expected credit loss calculation.

The expected credit losses are calculated using the 3-stage general impairment model as follows:

- probability of default – the likelihood that the borrower would not be able to repay in the very short payment period;
- loss given default – the loss that occurs if the borrower is unable to repay in that very short payment period; and
- exposure at default - the outstanding balance at the reporting date.

The probability of default is based on an external assessment of the Group's weighted corporate default rate which is a function of the Group's external credit rating.

Revenue
Revenue represents the total amount receivable for goods sold and services provided, excluding sales-related taxes and intra-group transactions. Revenue is measured at the fair value of the consideration received or receivable. The transaction price is determined based on the contractually agreed price with the customer, net of VAT, discounts, and any other price concessions, and does not typically include variable consideration.

Notes to the financial statements *(continued)*

3. Accounting policies *(continued)*

Revenue *(continued)*
The Company disaggregates revenue into three material revenue streams which are made up of the following:

Box office revenue

- Box office revenue is recognised on the date of the showing of the film it relates to. Revenue recognition is at the point in time.
- Unlimited card revenue is received annually or monthly in advance. When revenue is received annually in advance it is recognised on a straight-line basis over the year.

Retail revenue

- Concessions revenue includes the sale of food and drink in the cinemas. All concession revenue is recognised at the point of sale. The Group operates a licence arrangement with Starbucks. The Company pays a licence and royalty fee which is recognised in cost of sales.
- The Company records proceeds from the sale of gift cards and other advanced bulk tickets in deferred revenue and recognises admissions or retail revenue when redeemed. Dependent on the revenue stream the gift card is redeemed against, revenue will either be recorded within box office revenue or retail revenue. Additionally, the Company recognises unredeemed gift cards and bulk tickets as other revenues based on a proportion of redemptions, which is estimated primarily based on the Company's historical experience.

Other revenue
Other revenue includes the following:

- Fees are charged for advanced bookings of tickets classified as booking fee revenue. This revenue is recognised at the point when the tickets are purchased. This is recognised in another Group entity.
- Advertising revenue is recognised on per admit basis, at the point the advertisement is shown in cinemas or the related impressions are delivered.
- The Company receives rebates primarily from concession vendors. The rebates are either a fixed amount or a specified percentage based on the total purchases made from the vendor. The rebates are subject to some estimation uncertainty but the arrangements are not complex. Rebates are calculated and accrued monthly based on the volume of purchases. These rebates are either recognised as other revenues, a reduction of cost of goods sold, or a combination of the two dependent on the nature of the services provided.
- For arrangements where the Company is providing various forms of in theatre, lobby or website advertising in exchange for the rebate, such rebates are accounted for as a component of other revenues. For arrangements under which the Company provides no material form of advertising such rebates are accounted for as a reduction of cost of goods sold.
- Amusement revenue comprises the Company's share of income generated from amusement and gaming machines operated by third-party providers within cinema locations under profit-sharing arrangements. Revenue is recognised when the performance obligation has been satisfied, being as the amusement services are provided to customers. The amount recognised represents the Company's contractual share of net proceeds generated from the machines and is measured based on statements or invoices provided by the third-party operator. Revenue is recognised in the period to which the underlying machine income relates.

Deferred revenue
Deferred revenue amounts represent contract liabilities under IFRS 15.
Deferred revenue primarily consists of the following:

- Revenue received from the Unlimited scheme.
- Unredeemed gift cards and bulk tickets: Revenue is initially recognised in deferred revenue and subsequently recognised in revenue in proportion to the pattern exercised by the customer.
- Revenue received in advance for advertising contracts.

Notes to the financial statements *(continued)*

3. Accounting policies *(continued)*

Finance income
Finance income comprises of interest receivable from internal borrowings, interest income on the unwind of discount of net investment assets and foreign exchange gains.

Finance costs
Finance costs comprise interest expense on lease liabilities and foreign exchange losses.

Critical estimates and judgements
The preparation of financial statements requires management to make judgements and estimates that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Judgements and estimates made by the Directors in the application of these accounting policies that have significant effect on the Financial Statements and estimates with a significant risk of material adjustment in the next financial year are set out below.

Judgements

The key judgements are:

Lease term
IFRS 16, "Leases" defines the lease term as the non-cancellable period of a lease together with the options to extend or terminate a lease, if the lessee were reasonably certain to exercise that option. Where a lease includes the option for the Company to extend the lease term, beyond the non-cancellable period, the Company makes a judgement as to whether it is reasonably certain that the option will be taken. This will take into account the length of time remaining before the option is exercisable; current and future trading forecast as to the ongoing profitability of the site; and the level and type of planned future capital investment.

Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). Therefore, potential future cash outflows have not been included in the lease liability where it is not reasonably certain the extension periods will be taken or that the leases will be extended on similar terms (or not terminated). The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee. Refer to Note 18 which quantifies the impact on lease liability should the lease term include extension or termination options.

Lease modifications
Judgement is required to determine when the terms of an amendment to an existing lease is formally agreed, which in some cases is considered to have occurred prior to the date of signing the agreement. The timing of the modification can affect the discount rate and the period in which it is reported. Management consider a modification to have been completed when it is reasonably certain to occur without any further changes to agreed terms.

Management have taken the judgement that any negotiations during the year met the criteria for amendment based on changes to the cash flows, length and conditions of the original lease. Please refer to note 18.

The assessment is reviewed if a significant event or a significant change in circumstances occurs which affects this assessment and that is within the control of the lessee.

Notes to the financial statements *(continued)*

3. Accounting policies *(continued)*

Estimates
Estimates are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised and in any future years affected.

In applying the Company's accounting policies described above the Directors have identified that the following areas are the key estimates that could have a significant impact on the amounts recognised in the Financial Statements in the next financial year.

The critical estimates are:

Impairment of financial assets
As described further in Note 3, the Company measures expected credit losses using a three-stage approach for all amounts owing from Group undertakings. This involves significant estimation regarding both the probability of default and the subsequent loss to the Company. Refer to Note 14 for an explanation of the key changes in the expected credit loss allowance between the beginning and the end of the year and sensitivity analysis to key assumption.

Impairment of investment in subsidiaries, property, plant and equipment and right-of-use-assets
The Company determines whether property, plant and equipment and right-of-use-assets are impaired when indicators of impairments exist or based on the annual impairment assessment. The annual assessment requires an estimate of the value in use of the CGUs to which the tangible fixed assets are allocated, which is predominantly at the individual cinema site level. Where individual site's cash flows are not determined to be independent from one another, mainly due to strategic or managerial decisions being made across more than one site, they may be combined into a single CGU.

Estimating the value in use requires the Company to make an estimate of the expected future cash flows from each cinema and discount these to their net present value. The resulting calculation is sensitive to the assumptions in respect of future cash flows and the discount rate applied.

The Directors consider that the key assumptions made within the cash flow forecasts include admissions levels, average ticket price, concession spend per person, and discount rates. The Directors consider that the assumptions made represent their best estimate of the future cash flows generated by the CGUs, and that the discount rate used is appropriate given the risks associated with the specific cash flows. Based on the sensitivity analysis performed, there would be additional impairment, refer to Note 11 for full details.

Therefore, it is considered appropriate to disclose this as an area of significant estimation due to the size of the balance and the fact that it could change as a result of future events.

Deferred tax asset recognition
The Company recognises deferred tax assets and liabilities for the future tax consequences attributable to temporary differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases, unused tax losses and unused tax credits. Deferred tax assets are recognised only to the extent that it is probable that sufficient taxable profit will be available against which those unused tax losses, unused tax credits or deductible temporary differences can be utilised. This assessment requires estimation, including the period over which to assess utilisation of losses.

Estimates are required in assessing whether sufficient future taxable profits will be made in order to recognise the benefit of deferred tax assets accumulated at the Balance Sheet date. In assessing recognised and unrecognised deferred tax assets, the Company has considered its forecast performance in line with the scenarios set out in its impairment forecast models. Details of the deferred tax assets, recognised and unrecognised, are set out in Notes 10 and 15.

Notes to the financial statements *(continued)*

3. Accounting policies *(continued)*

Lease discount rate

IFRS 16 requires that the discount rate applied in calculating the lease asset and liability represents the incremental borrowing rate at the date the lease is signed or modified. Leases are signed and amended over the course of each year; the Group elects to apply an average discount rate over periods for which its cost of borrowing and credit rating are consistent. Given the judgement required around the date of amendment and the uncertainty affecting incremental borrowing rates, using a rate covering the three-month period is considered to be appropriate.

Notes to the financial statements *(continued)*

4. Revenue

Revenue can be broken down by product and service provided as follows:

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Revenue by product and service provided		
Box Office	**113,915**	118,656
Retail	**53,961**	59,883
Advertising	**14,059**	13,475
Other	**3,399**	2,868
Total revenue	**185,334**	194,882
Timing of revenue recognition		
At a point in time	**164,443**	173,111
Over time	**20,891**	21,771

Unlimited card revenue is classified as box office revenue over time in the above.

Please refer to note 22 for revenue from Digital Cinema Media ('DCM').

The Company has operated in one business sector in both financial years, being cinema operations.

All revenues derived from activities in the United Kingdom.

5. Profit before taxation

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Profit before taxation is stated after (crediting)/ charging:		
Net impairment of right-of-use assets	**132**	2,849
Net impairment of property, plant and equipment	**678**	3,594
Lease modification gain	**(483)**	(42,715)
Net impairment of financial assets	**(14,904)**	3,590
Management recharges	**10,934**	11,647

Management fee expense is a recharge of head office costs from fellow group undertakings and is recognised as a debit to administrative expenses.

Auditors' remuneration for 2025 and 2024 was borne by a fellow Group Company. The Company's allocation of the Group audit fee was £66,000 (2024: £55,600).

There were no fees paid to the Company's independent auditors, S&W Audit for 2025 and 2024, and their associates for services other than the statutory audit of the Company. This is on the basis that no non-audit services were provided to the Company.

Notes to the financial statements *(continued)*

6. Dividends

During the year ended 31 December 2025, the Company did not have any declared or unpaid dividends (2024: £nil).

7. Directors' Emoluments

Directors received remuneration from other Group companies, none of which is considered to be in respect of services rendered to this Company, in line with the prior year.

Information on emoluments of Directors of this Company borne by Group entities is disclosed in the financial statements of Cineworld Cinemas Limited. No apportionment to determine the amount attributable to individual entities is performed.

As part of the Directors remuneration their employer Cineworld Cinemas Limited will provide contributions into a defined contribution pension scheme.

8. Staff numbers and costs

The monthly average number of persons (including Directors) during the year was:

	Year ended 31 December 2025 Number	Year ended 31 December 2024 Number
Full time	**429**	471
Part time	**1,879**	2,060
	2,308	2,531

The aggregate payroll costs of these persons were as follows:

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Wages and salaries	**35,615**	36,136
Social security costs	**2,995**	2,177
Other pension costs	**624**	645
	39,234	38,958

Staff costs of £27,306,000 (2024: £27,917,000) are recognised in cost of sales and £11,928,000 (2024: £11,041,000) are recognised in administrative expenses.

For the purposes of this note, employees are taken as being those people with contracts of employment with a fellow group undertaking but whose time is dedicated to the business of the Company and whose costs of employment are therefore charged to the Company.

Notes to the financial statements *(continued)*

9. Net finance costs

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Finance income		
Interest income	**113**	44
Unwind of discount on sub-lease assets	**3,266**	4,784
Foreign exchange gain	**812**	884
	4,191	5,712

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Finance expense		
Lease liability interest	**(19,787)**	(30,123)
Foreign exchange loss	**(141)**	(854)
Interest expense	**-**	(1,881)
	(19,928)	(32,858)

Notes to the financial statements *(continued)*

10. Tax on profit

a) *Analysis of tax charge in year*

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Tax comprises:		
Adjustments to prior periods	-	-
Current tax on profit in the year	-	-
Origination and reversal of temporary differences	**14,527**	3,785
Reduction in tax rate	-	-
Total deferred tax charge	**14,527**	3,785
Tax charge on profit	**14,527**	3,785

b) Reconciliation of effective tax rate

The effective tax rate for the year is higher (2024: higher) than the standard rate of corporation tax in the UK of 25.0% (2024: 25.0%). The differences are reconciled below:

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Profit before taxation	**5,121**	9,500
Profit before taxation multiplied by standard rate of corporation tax in the UK of 25.0% (2024: 25.0%)	**1,280**	2,375
Effects of:		
Group relief	**2,742**	-
Expenses not deductible for tax purposes	**1,409**	3,465
Income not taxable for tax purposes	**(3,726)**	(2,034)
Movement on unrecognised deferred tax assets	**13,349**	(21)
Deferred tax rate impact	**-**	-
Adjustments to prior periods	**(526)**	-
Total tax charge	**14,528**	3,785

At 31 December 2025 the Company had unrecognised deferred tax assets relating to the following temporary differences:

Tax losses of £48,686,771 (2024: £45,180,768)
Capital losses of £206,430 (2024: £206,430)
Deferred IFRS16 transition losses of £8,483,005 (2024: £2,266,418)
Fixed assets of £38,180,430 (2024: £0)

See note 15 for further detail.

Notes to the financial statements *(continued)*

10. Tax on profit *(continued)*

In December 2021, the OECD released a framework for Pillar Two Model Rules which has introduced a global minimum corporate tax rate of 15% applicable to multinational enterprise groups with global revenue over €750 million. The legislation implementing the rules in the UK was substantively enacted on 11 July 2023 and applies to the Group from the financial year ending 31 December 2024 onwards. The Group continues to review this legislation and monitor the status of implementation of the model rules outside of the UK to understand the impact on the group. We do not expect that the 15% global minimum tax rate will materially affect the amount of tax the Group pays. The Group has applied the temporary exception under IAS 12 in relation to the accounting for deferred taxes arising from the implementation of the Pillar Two rules.

11. Property, plant and equipment

	Land and Buildings £000	Plant and machinery £000	Fixtures, Fittings and equipment £000	Assets in course of construction £000	Total £000
Cost					
1 January 2025	187,255	40,160	61,288	3,870	292,573
Additions	860	1,000	1,847	2,013	5,720
Transfer	83	-	971	(1,054)	-
Disposals	(4,713)	(1,454)	(2,925)	-	(9,092)
31 December 2025	**183,485**	**39,706**	**61,181**	**4,829**	**289,201**
Accumulated depreciation and impairment					
1 January 2025	109,768	34,323	56,879	960	201,930
Charge for year	6,346	1,585	3,035	-	10,966
Impairment	580	44	33	21	678
Disposals	(1,946)	(1,598)	(2,754)	-	(6,298)
31 December 2025	**114,748**	**34,354**	**57,193**	**981**	**207,276**
Net book value					
At 31 December 2025	**68,737**	**5,352**	**3,988**	**3,848**	**81,925**
At 31 December 2024	77,487	5,837	4,409	2,910	90,643

Land and buildings represent leasehold improvements made to short term property leases.

Impairment

The Company reviews property, plant and equipment and right-of-use assets for impairment where events or changes in circumstances indicate that their carrying amounts may not be recoverable. Assets are generally assessed at the individual cinema site level, which represents the lowest level at which largely independent cash inflows can be identified. Where the cash inflows of individual sites are not considered independent, the relevant sites are combined into a single cash-generating unit ("CGU").

Notes to the financial statements *(continued)*

Impairment *(continued)*

The recoverable amount of each CGU is determined as the higher of its value-in-use and fair value less costs of disposal. Where the recoverable amount is lower than the carrying amount of the CGU, an impairment loss is recognised.

Despite the overall improvement, certain cinema sites continued to underperform against expectations. Management has incorporated the latest trading performance, the anticipated future film slate, and site-specific outlooks into the forecast cash flows used in the impairment assessment.

The Company also considers whether there are indicators that impairment losses recognised in previous periods may have decreased or no longer exist. An impairment loss is reversed where there has been a change in the estimates used to determine the asset's recoverable amount since the impairment loss was recognised. During 2025, such indicators were identified for certain CGUs, including where changes in lease terms and improvements in forecast trading performance resulted in an increase in the estimated recoverable amount.

Value-in-use is determined using expected future cash flows generated by each CGU over the remaining term of the relevant lease. Management prepares individual cash flow forecasts for each CGU based on the latest approved forecasts. The key assumptions include cinema admissions, average ticket price ("ATP"), spend per person ("SPP"), other revenues and operating costs.

The forecasts reflect management's expectations regarding the future film slate, anticipated admissions and site-specific trading performance. A long-term growth rate of 2.0% is applied to cash flows beyond the detailed forecast period, where appropriate.

The forecast cash flows are discounted using a pre-tax discount rate of 13.2% (2024: 14.93%). The impairment assessment is particularly sensitive to changes in forecast admissions and the discount rate.

Management also considered whether fair value less costs of disposal would result in a higher recoverable amount than value-in-use. Where applicable, the higher of the two measures has been used in determining the recoverable amount of the CGU.

Based on the results of this impairment review, an impairment charge of £810,000 (2024: £6,443,000 impairment charge) was recognised to decrease in the carrying value of the Company's property, plant and equipment and right-of-use-assets to recoverable amount. £132,000 (2024: £2,849,000 impairment charge) impairment charge related to right-of-use assets and £678,000 charge (2024: £3,594,000 impairment reversal) related to property, plant and equipment.

Notes to the financial statements *(continued)*

Impairment *(continued)*

Sensitivity to changes in assumptions

Given the continued uncertainty affecting the cinema industry and wider economic environment, significant judgement is required in preparing the forecasts used to estimate the recoverable amount of the CGU. Management has applied an expected cash flow approach, which is considered the most appropriate method of reflecting the range of possible outcomes and uncertainties inherent in future cash flow projections. This approach incorporates multiple cash flow scenarios rather than relying on a single forecast outcome.

The key assumptions applied in determining the recoverable amount are forecast EBITDAR (EBITDA adjusted for rent), the terminal growth rate and the weighted average cost of capital ("WACC").

Sensitivity analyses have been performed to assess the impact of reasonably possible changes in these assumptions. The scenarios considered include reductions in forecast EBITDAR of 10% and 25%, the application of a terminal growth rate of 0%, and increases and decreases of 1% in the WACC.

These sensitivities represent reasonably possible changes in key assumptions that management believes could have the most significant impact on the recoverable amount of the CGU. Each sensitivity has been assessed independently, with all other assumptions held constant.

The impact on the net impairment charge recognised at 31 December 2025 (relating to property, plant and equipment and right-of-use assets) of applying these different assumptions is set out below

	Increase/ (decrease) in net impairment £000
10% reduction in EBITDAR, 0% growth	2,076
25% reduction in EBITDAR, 0% growth	6,950
0% growth, EBITDAR and WACC kept constant	34
1% increase in weighted average cost of capital (WACC), 0% growth	681
1% decrease in weighted average cost of capital (WACC), 0% growth	(30)

Notes to the financial statements *(continued)*

12. Investments

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Cost at beginning of year	-	-
Addition	**69,288**	-
Cost at end of year	**69,288**	-
Impairment	-	-
Accumulated impairment at end of year	-	-
Net book value	**69,288**	-

All investments relate to shares in subsidiary undertakings.

During the year, the Company recognised an addition of £69.3 million to investments in subsidiary undertakings arising from the transfer of shares in Jersey-incorporated subsidiary entities from Cineworld Cinemas Limited to the Company. The transaction formed part of the Group's internal corporate reorganisation and was accounted for at the fair value of the shares transferred. The reorganisation was undertaken to simplify the Group's corporate structure and align the ownership of subsidiary undertakings within the Group. The Directors assessed the recoverability of the investment at the reporting date and concluded that no impairment was required, having considered the underlying value and future prospects of the subsidiary undertakings.

Impairment
The Company holds direct investment in operating companies as outlined within the investment holding schedule within this note.

The Company determines whether these assets are impaired when indicators of impairment exist or based on the annual impairment assessment. The annual assessment requires an estimate of the recoverable amount by reference to the value in use of those investments. Where the recoverable amount is less than the carrying value, an impairment charge to reduce the investment to recoverable amount is recognised.

Estimating the value in use requires the Company to make an estimate of the expected future cash flows from its investment, including the recoverability of underlying net assets where applicable, and discount these to net present value at a pre-tax discount rate.

These forecast cash flows are defined as the Adjusted EBITDA and are based on the five-year cash flow forecast. These cash flows have been extrapolated into perpetuity from 2030 and conservatively do not include a long-term growth rate. This growth rate does not exceed the long-term average growth rate for the markets in which these investments operate. These cash flows are adjusted to take into account the repayment of any borrowings held at 31 December 2025, any required intercompany payments, and future rental payments beyond the period covered by each current lease. These cash flows have been discounted at a weighted average cost of capital of 13.2%.

Based on management's assessment, an impairment charge of £nil (2024: charge of nil) was recognised against specific investments.

In calculating the recoverable amount of the Company's investments, reference was also made to the fair value less cost of disposal. It was concluded that the calculated value in use was greater than fair value less cost of disposal and therefore the recoverable amount was deemed to represent the value in use.

Notes to the financial statements *(continued)*

12. Investments *(continued)*

Impairment sensitivities

Sensitivities have been applied to the forecast cash flows to assess the potential impairment under different scenarios. The results would be as follows:

	Increase (decrease) in net impairment £000
10% reduction in forecast admissions	5,832
25% reduction in forecast admissions	26,797
2% reduction in forecast Average Ticket Price (ATP) & Spend Per Person (SPP)	1,037
1% increase in weighted average cost of capital (WACC)	839
1% decrease in weighted average cost of capital (WACC)	51

Investments in subsidiary, associate and jointly controlled undertakings at 31 December 2025 comprise:

Subsidiary undertakings	Registered Office	Share class	% of shares held	Nature of business
Directly held				
Basildon Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema property leasing
Basildon Cinema Number Two 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations
Bromley Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations
Empire Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations
Hemel Hempstead Two Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations
Poole Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations
Newcastle Cinema 2 Limited	2nd Floor, The Le Gallais Building, 54 Bath Street, St Helier, Jersey, JE1 1FW	Ordinary	100	Cinema operations

Notes to the financial statements *(continued)*

13. Inventories

	31 December 2025	31 December 2024
	£000	£000
Goods for resale	**2,479**	2,606

Inventory recognised in cost of sales in the year amounted to £10,939,000 (2024: £13,690,000).

14. Trade and other receivables

	31 December 2025	31 December 2024
	£000	£000
Non-Current		
Net-investment in sub-lease	-	-
Current		
Other debtors	**118**	115
Prepayments and accrued income	**3,360**	2,252
Amounts owed by Group undertakings	**747,064**	601,710
Expected credit loss	**(4,686)**	(19,592)
Net investment in sub-lease	**41,059**	36,884
	786,915	621,369

An expected credit loss of £4,686,000 (2024: £19,592,000) has been recognised against amounts owed from Group undertakings. The movement in this provision for the year is a credit of £14,906,000 (2024: £3,590,000 charge). This is recognised on the face of the statement of comprehensive income. The primary reason for the decrease in expected credit loss is the change to the probability of default to 0.28% (2024: 2.60%) and an increase in amounts owed by Group undertakings. The probability of default rate improved compared to the prior year due to improved credit rating. If the probability of default is 5% higher this would change the position from a credit to a charge of £42,039,000.

The amounts owed by Group undertakings from trading activities are repayable on demand. No interest is charged on these balances.

Notes to the financial statements *(continued)*

15. Deferred tax asset

The Company has recognised a deferred tax asset in relation to accelerated capital allowances as follows:

	31 December 2025 £000	31 December 2024 £000
Tangible fixed assets	**(49)**	9,249
Deferred transition loss	**8,453**	11,119
Loss carried forward	**-**	2,564
	8,404	22,932

The movement in deferred tax:

	1 January 2025 £000	**Recognised in statement of comprehensive income £000**	**31 December 2025 £000**
Tangible fixed assets	**9,249**	**(9,298)**	**(49)**
Deferred transition loss	**11,119**	**(2,666)**	**8,453**
Loss carried forward	**2,564**	**(2,564)**	**-**
	22,932	**(14,528)**	**8,404**

	1 January 2024 £000	Recognised in statement of comprehensive income £000	31 December 2024 £000
Tangible fixed assets	10,488	(1,239)	9,249
Deferred transition loss	11,119	-	11,119
Loss carried forward	5,110	(2,546)	2,564
	26,717	(3,785)	22,932

Notes to the financial statements *(continued)*

15. Deferred tax asset *(continued)*

Sensitivity to changes in assumptions

There are significant challenges in preparing forecasts necessary to estimate the recoverable amount of the deferred tax asset ('DTA'). Management determined that using an expected cash flow approach is the most effective means of reflecting the uncertainties of the industry recovery in its estimates of recoverable amount. This approach reflects all expectations about possible cash flows instead of the single expected outcome. The key assumptions applied within the models are as follows:

In calculating the DTA recoverable amount, management has applied cinema admission growth rates which are deemed to be highly sensitive to changing market dynamics and post-pandemic changes in consumer behaviour. The sensitised scenario assumes that this growth rate reduces by 10% and increases by 10% over the forecast period.
Discount rates are largely derived from market data, and these rates are intended to be long term in nature. However, the models are sensitive to changes in these rates. An increase and decrease by a factor of 1% has been applied in the sensitised scenarios.
The growth rates of ATP and SPP have also been reduced by 2% per annum over the forecast period in an additional sensitised scenario.

These sensitivities reflect realistic scenarios which management believe would have the most significant impact on the cash flows described above.

The sensitivities have been prepared on the basis that the reasonably possible change in each key assumption would not have a consequential impact on other assumptions used in the impairment review.

The impact of the net DTA recognised at 31 December 2025 of applying these different assumptions would be as follows:

	Increase/ (decrease) in net DTA £000
10% reduction in forecast admissions	(8,453)
10% increase in forecast admissions	15,031
2% reduction in forecast Average Ticket Price (ATP) & Spend Per Person (SPP)	(3,679)
1% increase in weighted average cost of capital (WACC)	(350)
1% decrease in weighted average cost of capital (WACC)	374

16. Creditors: amounts falling due within one year

	31 December 2025 £000	31 December 2024 £000
Other creditors including taxation and social security	**6**	30
Corporation tax	**-**	-
Accruals and deferred income	**7,312**	6,203
Amounts owed to Group undertakings	**773,801**	573,467
Provision	**-**	-
	781,119	579,700

The amounts owed to Group undertakings are non-interest bearing and repayable on demand.
During the year, an amount owed to Group undertakings of £25.2m was waived as part of the Group restructure and recognised within the Capital contribution reserve.

Notes to the financial statements *(continued)*

17. Provision

	Dilapidation (£000)
At 1 January 2025	475
Released	(475)
Addition	-
At 31 December 2025	-

The provision relates to dilapidation obligations under certain lease agreements. During the year, the provision of £475,000 was released in full as a result of the Restructuring Plan. Accordingly, no dilapidation provision remained outstanding at 31 December 2025.

18. Leases

The Balance Sheet shows the following amounts relating to leases:

	Land and buildings £000 2025	Land and buildings £000 2024
Right-of-use assets		
1 January	**46,518**	64,431
Lease modifications	**28,594**	(6,586)
Disposals	**(1,917)**	(3,197)
Impairment	**(132)**	(2,849)
Depreciation of right of use asset	**(4,813)**	(5,281)
31 December	**68,250**	46,518
Lease liabilities		
1 January	**(197,371)**	(261,292)
Lease modifications	**(29,077)**	35,495
Disposals	**3,674**	19,371
Interest expense related to lease liabilities	**(19,787)**	(30,123)
Repayment of lease liabilities (including interest)	**29,573**	39,178
31 December	**(212,988)**	(197,371)
Current	**(5,573)**	(10,209)
Non-current	**(207,415)**	(187,162)

The Income Statement shows the following amounts relating to leases:

	Year ended 31 December 2025 £000	Year ended 31 December 2024 £000
Depreciation charge of right-of-use assets		
Land and buildings	**4,813**	5,281
Impairment charge of right-of-use assets	**132**	2,849
Modification gain	**483**	(42,715)
Charge / (credit) to operating profit	**5,428**	(34,585)
Interest expense (included in finance costs)	**19,787**	30,123
Charge / (credit) to profit before taxation for leases	**25,215**	(4,462)

Commitments for leases classified as short-term at 31 December 2025 was £nil (2024: £nil).

Notes to the financial statements *(continued)*

18. Leases (continued)

As outlined in note 3 extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). Should all lease extension options be taken the impact on lease liability and right of use asset would be an increase of £9,922,963 (2024: £9,124,486) increasing future cash flows by £17,307,675 (2024: £23,147,823). No leases contain a residual value guarantee clause.

Leasing arrangements

The properties are sub-leased to Cineworld Cinemas Limited as finance leases on the same terms and length as the head lease. Subsequent modifications to the head lease are transferred to the sub-leases and as a result the Company does not retain rights. The Company is reliant on Cineworld Cinemas Limited's ability to continue trading to repay lease obligations as they fall due (see note 1 for further details on the Company's going concern assessment).

The following table sets out a maturity analysis of lease payments, showing the undiscounted lease payments to be received after the reporting date.

	31 December 2025	31 December 2024
	£000	£000
Within 1 year	4,024	4,326
Between 1 and 2 years	3,887	4,023
Between 2 and 3 years	3,852	3,887
Between 3 and 4 years	3,940	3,852
Between 4 and 5 years	3,974	3,929
Later than 5 years	63,997	69,504
Total undiscounted lease receivable	**83,674**	89,521
Unearned finance income	(42,615)	(52,637)
Net investment in sub-leases	**41,059**	36,884

Modification and discount rates

Due to the negotiations held with landlords, the amended leases have changed in substance either from a consideration or term perspective. Thus, the modification treatment per IFRS 16 has been followed.

On transition, the incremental borrowing rates applied to property leases ranged between 6.3% and 8.1%. The asset specific incremental borrowing rate applied to each lease was determined by taking into account the risk-free rate, adjusted for factors such as the credit rating linked to the life of the underlying lease agreement. These rates are intended to be long term in nature and calculated on inception of each lease.

Due to restructuring process in 2024 most leases were renegotiated in the year, resulting in a large number of lease modifications and gains. In 2025 modifications were at minimum level.

During the year, there were lease modifications that would have required a reduction to the right of use asset in excess of the carrying amount at the date of modification. For these leases, the asset carrying values were reduced to £nil with the excess gain credited to the statement of profit or loss. Where these leases were previously impaired, this is first presented as an impairment reversal (up to the amount of impairment reversal permitted by IFRSs) with any remaining gain presented as a lease modification gain within property related releases and charges as part of administrative expenses.

The statement of profit or loss includes within administrative expenses a lease modification gain of £0.4m (2024: £42.7m). The impairment reversal is part of net impairments of goodwill, property, plant and equipment, right-of-use assets and investments in the statement of profit or loss.

Notes to the financial statements *(continued)*

18. Leases *(continued)*

The number and size of amendments made are such that judgements taken were significant. These judgements included the following:

- Where a lease includes the option for the Group to extend the lease term, beyond the non-cancellable period, the Group makes a judgement as to whether it is reasonably certain that the option will be taken. This will take into account the length of time remaining before the option is exercisable; the current and future trading forecast as to the ongoing profitability of the site; and the level and type of planned future capital investment. Extension options (or periods after termination options) are only included in the lease term if the lease is reasonably certain to be extended (or not terminated). Therefore, potential future cash outflows have not been included in the lease liability where it is not reasonably certain the extension periods will be taken or that the leases will be extended on similar terms (or not terminated).

- The discount rate applied. The Group elected to apply an average discount rate over periods with consistent relevant characteristics rather than applying the rate at the specific date of the amendment. Given the judgement required around the date of amendment and the uncertainty affecting incremental borrowing rates, using such a rate is considered to be appropriate.

- The date of the amendment. Judgement was required to determine when the terms of each amendment were formally agreed, which in some cases was considered to have occurred prior to the date of signing the agreement.

- All renegotiated leases were treated as modification under IFRS 16. Management has taken the judgement that all renegotiated leases met the criteria for amendment based on the changes to the cash flows, and length and conditions of the original leases.

19. Called up share capital

	31 December 2025	31 December 2024
	£000	£000
Allotted, called up and fully paid		
7,900,318 (2024: 7,900,318) ordinary shares of £1 each	**7,900**	7,900

The Directors have not proposed any dividend payment for the current year or up to date of signing these annual report and financial statements (2024: £nil).

20. Capital contribution reserve

The amount represents amounts arising from the waiver of intercompany payables by parent or group companies. Such waivers are treated as capital contributions and are recognized directly in equity, with no impact on profit or loss.

Notes to the financial statements *(continued)*

21. Commitments, pension commitments, guarantees and contingencies

The Company has provided an unlimited guarantee as part of a UK wide banking facility agreement, along with fellow Group undertakings.

The Debt Facility contains financial covenants including a net leverage ratio and guarantor coverage test. If the amount drawn on the Revolver is greater than 30% of the total Debt Facility then the Company must maintain a net leverage ratio not to exceed 5.25 to 1.00 as of 31 December 2025, not to exceed 4.50 to 1.00 as of 31 March 2026, and not to exceed 4.00 to 1.00 thereafter. If the amount drawn on the Revolver is less than 30% of the total Debt Facility, then the net leverage ratio is not applicable. The guarantor coverage test requires New Cineworld Midco Limited, Crown UK Holdco Limited, and Crown Finance US, Inc. at the end of each year to maintain (1) aggregate consolidated EBITDA equal to at least 80% of the Company, and (2) consolidated total assets equal to at least 80% of the Company.

The Company has assessed its guarantees and concluded that the guarantees do not have any value as at the reporting date.

The Company had no other contractual commitments, pension commitments, guarantees and contingencies at 31 December 2025 (2024: £nil).

22. Related party transactions

As the Company is a wholly owned subsidiary of Cineworld Parent Limited, the Company has taken advantage of the exemption contained in FRS 101 8(k) and has therefore not disclosed transactions or balances with entities which form part of the Group (or investees of the Group qualifying as related parties) in-line with IAS 24. The consolidated financial statements of Cineworld Parent Limited, within which this Company is included, can be obtained from the address given in note 22.

Digital Cinema Media ('DCM') is a joint venture between a fellow Group company and Odeon Cinemas Holdings Limited set up in 2008. Revenue receivable from DCM in the year totalled £8,803,095 (2024: £8,418,855) and as at the year-end £2,499,933 (2024: £3,154,508) was due from DCM in respect of receivables. There are no other related party transactions other than those disclosed within the financial statements.

23. Ultimate parent Company

As at the balance sheet date, the Company's immediate parent is Cineworld Holdings Limited, 8th Floor Vantage London, Great West Road, Brentford, England, United Kingdom, TW8 9AG, a Company incorporated in England and Wales. The Company's ultimate parent is Cineworld Parent Limited (previously, the ultimate parent was Cineworld Group plc) a company incorporated in the Cayman Islands. The smallest and largest Group in which the results of the Company are consolidated is that headed by Cineworld Parent Limited. Copies of the financial statements are available from 8th Floor Vantage London, Great West Road, Brentford, United Kingdom, TW8 9AG.

24. Post balance sheet events

There are no post balance sheet events separately reportable for the Company.